Independent Business Review

Calverton Industries Limited group — Project Ironhold

Final report — 19 March 2026

Prepared by Marlow Tax & Advisory Ltd for Northbank plc (as Agent) and Calverton Industries Limited. This report is provided under the terms of the engagement letter dated 24 February 2026 and is subject to the limitations and reliance provisions set out therein.

1. Executive summary

The Calverton Industries group breached its leverage and interest-cover covenants at the December 2025 test date, reporting total leverage of 4.9x against a 3.50x covenant and interest cover of 1.63x against a 3.00x covenant. The breach follows a two-year decline in trading driven by the loss of two automotive OEM fastenings programmes and destocking in the fluid-handling channel. Following our review, we consider that the group has a viable core business and that a consensual restructuring, supported by £12.0m of new-money and a covenant reset, provides a reasonable prospect of returning the group to covenant compliance from the December 2026 test date.

Our base-case projections show Adjusted EBITDA recovering from £6.2m (FY2025) to £8.9m (FY2026) and £15.1m by FY2029, with net debt reducing from £47.4m to £27.8m over the plan period. On these projections the group is compliant with the proposed reset covenants at every test date, with leverage headroom of at least 0.3x.

2. Scope and basis of preparation

Our review covered the consolidated group comprising Calverton Industries Limited (parent), Calverton Fastenings Limited and Calverton Fluid Systems Limited. We reviewed management accounts to February 2026, the FY2026 board-approved budget, the group's short-term cashflow, and the security and facility documentation. Our work does not constitute an audit and we express no audit opinion. Figures are stated in £'000 unless otherwise noted.

3. Trading performance

£'000	FY2023A	FY2024A	FY2025A	FY2026F	FY2027F
Revenue	99,500	94,700	86,000	82,600	89,300
Gross margin %	31.2%	29.8%	27.6%	28.1%	30.5%
Adjusted EBITDA	8,940	7,530	6,240	8,940	12,010
Net debt	39,800	42,600	47,400	44,900	40,100
Leverage (x)	4.5x	5.7x	7.6x	5.0x	3.3x

Note: FY2025 Adjusted EBITDA is stated before £4.8m of exceptional items. Reported leverage of 4.9x for covenant purposes uses the covenant EBITDA definition, which excludes certain add-backs; the underlying trend is consistent.

4. Cash and liquidity

The group's 13-week cashflow shows a minimum headroom of £1.1m in the week commencing 6 April 2026, before the benefit of the new-money facility. Liquidity is tight but manageable through the standstill period. The £12.0m super-senior facility, of which £3.6m is expected to be drawn at the Restructuring Effective Date, restores an appropriate liquidity buffer and funds the Redditch site consolidation.

5. Restructuring proposal and covenant reset

The proposed restructuring comprises: (i) amendment and restatement of the senior facilities with maturity extended to December 2029 and the Facility A margin increased to 4.50% over SONIA; (ii) a £12.0m new-money super-senior facility; (iii) conversion of £6.0m of shareholder loans into equity and subordination of the residual £15.0m; and (iv) a covenant reset with a testing holiday to Q4 2026 and leverage stepping down from 4.50x to 3.00x. On our base case the group is compliant at all reset test dates.

Reset covenant	Dec-26	Dec-27	Dec-28	Dec-29
Max total leverage	4.50x	3.70x	3.15x	3.00x
Projected leverage	4.19x	3.28x	2.71x	1.84x
Min interest cover	2.50x	3.25x	3.75x	4.00x
Projected interest cover	2.66x	3.48x	4.10x	6.04x

6. Sensitivities

We sensitised the base case for a 6% revenue shortfall and a 150 basis-point margin reduction. In this low case, Adjusted EBITDA in FY2027 falls to £9.7m and December 2026 leverage rises to 4.42x, which remains within the 4.50x reset covenant but with limited headroom. The equity-cure mechanism (three cures capped at £3.0m each) provides additional protection against a covenant breach in the early years.

7. Conclusion

Subject to implementation of the restructuring on the proposed terms, we consider that the Calverton group has a reasonable prospect of trading within its reset covenants and of servicing the amended and new-money facilities over the plan period. We recommend that the parties proceed to document and complete the restructuring, targeting a Restructuring Effective Date in late April 2026.

Marlow Tax & Advisory Ltd — Restructuring Advisory. Contact: Aisha Chowdhury, Director. This report is confidential and prepared solely for the addressees.